

# Token-Level Uncertainty as a Predictor of Hallucination in Large Language Models

## Abstract

Large language models (LLMs) generate text autoregressively by assigning probability distributions to successive tokens. These distributions provide internal signals that may help estimate when a model is uncertain and therefore at increased risk of generating hallucinated or factually incorrect content. This paper examines token-level uncertainty as a predictor of hallucination in LLMs. It reviews the theoretical foundations of predictive uncertainty and surveys scholarly work on token probabilities, predictive entropy, sequence likelihood, calibration, semantic entropy, self-consistency, abstention, hidden-state uncertainty, and factuality evaluation. The central argument is that token-level uncertainty contains useful predictive information but is not itself a direct measure of truth. High uncertainty can signal insufficient knowledge or instability, while low uncertainty does not guarantee correctness because LLM probability distributions reflect learned patterns in language rather than externally verified facts. A major weakness of naive token-level entropy is that it conflates uncertainty about semantic content with uncertainty about alternative linguistic expressions. Recent research on semantic entropy addresses this limitation by estimating uncertainty over meanings rather than individual token sequences. Other developments include calibration-tuning, semantic entropy probes, conformal abstention, self-evaluation, self-consistency methods, and single-pass uncertainty estimation. The paper concludes that token-level uncertainty is most valuable as one component of a broader reliability framework combining local uncertainty, semantic disagreement, calibration, claim-level analysis, and external evidence. Future research should develop computationally efficient, well-calibrated, and domain-robust multilevel uncertainty systems for trustworthy LLM deployment.

**Keywords:** Large language models; hallucination; uncertainty quantification; token-level uncertainty; predictive entropy; semantic entropy; calibration; factuality; self-consistency; trustworthy AI.

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## 1. Introduction

Large language models (LLMs) have demonstrated substantial capabilities in natural language generation, question answering, summarization, programming, and reasoning. Despite these advances, they can produce fluent and convincing statements that are false, unsupported, fabricated, or inconsistent with available evidence. This phenomenon is commonly described as *hallucination* and represents a major obstacle to the dependable use of LLMs, particularly in knowledge-intensive and high-stakes applications (Ji et al., 2023; Rawte et al., 2023).

A central challenge is determining whether an LLM can estimate the reliability of its own output. Unlike traditional deterministic systems, autoregressive LLMs generate each output token from a probability distribution conditioned on the prompt and previously generated tokens. Formally, for input  $x$  and output sequence  $y = (y_1, \dots, y_T)$ ,

$$p(y \mid x) = \prod_{t=1}^T p(y_t \mid x, y_{<t}).$$

At each generation step, the model therefore contains information about the relative likelihood of possible next tokens. This makes quantities such as token probability, predictive entropy, probability margins, and negative log-likelihood natural candidates for uncertainty estimation.

Predictive entropy at generation step  $t$  can be defined as

$$H_t = - \sum_{v \in V} p(v \mid x, y_{<t}) \log p(v \mid x, y_{<t}),$$

where  $V$  is the vocabulary. A concentrated distribution produces relatively low entropy, whereas a distribution spread across many competing tokens produces higher entropy.

The basic hypothesis underlying uncertainty-based hallucination detection is that when an LLM lacks stable knowledge about a requested fact, its predictive distribution may become less decisive. Consequently, increased uncertainty may predict a higher probability of incorrect or arbitrary generation. However, this relationship is not exact. Models may be uncertain about how to phrase a correct answer, and they may confidently generate false statements. Research on LLM calibration has similarly shown that model confidence and actual correctness do not necessarily coincide (Kapoor et al., 2024).

This paper investigates token-level uncertainty as a predictor of hallucination and addresses the following questions:

1. What types of token-level uncertainty can be extracted from LLMs?
2. Why might token-level uncertainty correlate with hallucination?
3. What limitations prevent token uncertainty from serving as a direct measure of factual correctness?
4. How do semantic entropy, calibration, self-consistency, abstention, and related methods improve uncertainty-based detection?

The central conclusion is that token-level uncertainty is a useful *predictive risk signal*, but reliable hallucination detection requires uncertainty to be interpreted at semantic, factual, and task-specific levels.

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## 2. Background and Related Work

### 2.1 Hallucination in Large Language Models

Hallucination has been studied across several natural-language generation tasks. Ji et al. (2023) provide a comprehensive survey and describe hallucination as generated content that is nonsensical or unfaithful to the provided source or facts. They distinguish different causes and manifestations of hallucination across tasks such as summarization, dialogue, translation, and question answering. Rawte et al. (2023) likewise survey hallucination in LLMs and emphasize the importance of distinguishing factual inaccuracies from other forms of unfaithful generation.

The diversity of hallucination types is important for uncertainty research. A model may hallucinate because it lacks relevant knowledge, because a source is misinterpreted, because of reasoning errors, or because it confidently reproduces incorrect patterns learned during training. Consequently, not every hallucination should be expected to produce the same uncertainty signature.

Farquhar et al. (2024) introduce the more specific concept of **confabulation**, referring to arbitrary and incorrect generations associated with insufficient or unreliable model knowledge. Their work is particularly relevant because uncertainty-based methods are theoretically most useful for identifying situations in which the model lacks a stable basis for selecting a correct answer.

## 2.2 Predictive Uncertainty in Autoregressive Models

Autoregressive LLMs explicitly compute probability distributions over tokens. Several measures can be derived from these distributions:

- **Maximum token probability**

$$P_{\max,t} = \max_v p(v \mid x, y_{<t})$$

- **Negative log-probability of the generated token**

$$-\log p(y_t \mid x, y_{<t})$$

- **Predictive entropy**

$$H_t = - \sum_v p(v \mid x, y_{<t}) \log p(v \mid x, y_{<t})$$

- **Probability margin**, measuring the difference between highly probable alternatives.

- **Sequence likelihood**

$$\log p(y \mid x) = \sum_{t=1}^T \log p(y_t \mid x, y_{<t}).$$

These measures capture different aspects of predictive uncertainty. Entropy measures the dispersion of the full next-token distribution, whereas maximum probability focuses on the confidence associated with the most likely token. Sequence likelihood aggregates uncertainty across an entire response.

However, direct sequence-level probability has a major limitation: longer sequences naturally receive lower joint probabilities because probabilities are multiplied across tokens. Length normalization can partially address this issue, but it does not resolve the deeper problem that multiple token sequences may express the same meaning (Farquhar et al., 2024).

### 3. Main Thematic and Technical Discussion

#### 3.1 Why Token-Level Uncertainty May Predict Hallucination

Token-level uncertainty can provide useful information because factual generation often requires the model to select among competing alternatives. Suppose a prompt asks for a specific date, scientific concept, person's name, or numerical value. If the relevant knowledge is poorly represented or ambiguous, the model may assign substantial probability to multiple competing continuations.

For example, at a critical factual position, a model might assign probabilities such as

$$p(A) = 0.35, \quad p(B) = 0.31, \quad p(C) = 0.20.$$

The relatively dispersed distribution suggests uncertainty. In contrast,

$$p(A) = 0.95, \quad p(B) = 0.03, \quad p(C) = 0.01$$

represents a more concentrated prediction.

The first case may indicate an elevated risk of arbitrary selection. Thus, uncertainty can be used to estimate

$$P(\text{Hallucination} \mid U),$$

where  $U$  represents one or more uncertainty measures.

Several response-level uncertainty measures can be constructed from token entropy:

$$U_{\text{mean}} = \frac{1}{T} \sum_{t=1}^T H_t,$$

$$U_{\text{max}} = \max_{1 \leq t \leq T} H_t,$$

and

$$U_{\text{weighted}} = \sum_{t=1}^T w_t H_t.$$

Mean entropy captures persistent uncertainty, maximum entropy identifies extreme uncertainty at individual positions, and weighted entropy can emphasize tokens that are likely to contain factual information.

#### 3.2 Critical Tokens and Factual Risk

Not all tokens contribute equally to factual correctness. Uncertainty surrounding a punctuation mark or function word may have little relevance to hallucination, whereas uncertainty surrounding a date, entity, quantity, or technical term can substantially alter the truth of a statement.

This suggests the use of **critical-token uncertainty**:

$$U_C = \frac{\sum_{t=1}^T I_t H_t}{\sum_{t=1}^T I_t},$$

where  $I_t$  represents the estimated importance of token  $t$ .

Claim-aware uncertainty could therefore provide more informative predictions than averaging uncertainty across an entire response. This approach is also consistent with the observation that factual errors often occur at the proposition or claim level rather than uniformly throughout a generated sequence.

### 3.3 Entropy Trajectories

Uncertainty may change dynamically during generation. A response can begin with highly predictable language and later encounter a specific factual detail for which the model has weak knowledge. Consequently, the sequence

$$(H_1, H_2, \dots, H_T)$$

may be more informative than a single average.

A simple entropy change measure is

$$\Delta H_t = H_t - H_{t-1}.$$

A sharp increase may indicate a transition from relatively constrained generation to a region involving greater uncertainty. Such trajectory-based approaches could potentially support early intervention, including retrieval of external evidence, generation of alternative answers, clarification requests, or abstention.

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## 4. From Token Entropy to Semantic Uncertainty

### 4.1 The Problem of Linguistic Variation

A fundamental limitation of naive token-level entropy is that language permits many different expressions of the same idea. Consider the answers:

- "Paris."
- "The answer is Paris."
- "France's capital is Paris."

These are different token sequences but express essentially the same factual meaning. A model may therefore exhibit uncertainty over the wording of its response without uncertainty over the underlying answer.

Farquhar et al. (2024) identify this distinction as a central limitation of naive entropy-based hallucination detection. Token- or sequence-level uncertainty can conflate uncertainty about *what the answer means* with uncertainty about *how to express it*. Their results show that semantic entropy can outperform naive entropy estimates for detecting knowledge-related confabulations.

## 4.2 Semantic Entropy

Semantic entropy estimates uncertainty over meanings rather than individual token sequences. At a high level, the method involves:

1. Sampling multiple outputs from an LLM.
2. Identifying groups of semantically equivalent answers.
3. Estimating probability mass for each meaning.
4. Computing entropy over the meaning-level distribution.

If semantically equivalent outputs belong to clusters  $C_1, \dots, C_K$ , semantic entropy can conceptually be written as

$$H_{\text{semantic}} = - \sum_{k=1}^K P(C_k) \log P(C_k).$$

This measure is more closely aligned with epistemic uncertainty in free-form generation because equivalent paraphrases are not treated as competing factual alternatives. Farquhar et al. (2024) report that semantic uncertainty generalizes across tasks and can detect a substantial class of incorrect answers without requiring task-specific detection data.

## 4.3 Semantic Entropy Probes

Although semantic entropy is powerful, repeated sampling and semantic clustering can be computationally expensive. Kossen et al. (2024) propose **Semantic Entropy Probes**, which estimate semantic uncertainty using information encoded in a model's hidden representations. The objective is to approximate useful semantic uncertainty signals with substantially lower inference cost than repeated sampling.

This research suggests that the internal representations of LLMs may contain information about uncertainty that is not fully observable through the probability of the final selected token sequence. It also supports a broader view of hallucination prediction in which output probabilities and hidden-state representations are complementary rather than competing signals.

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# 5. Current Approaches and Developments

## 5.1 Calibration-Tuning

Raw confidence estimates should not automatically be interpreted as probabilities of correctness. Kapoor et al. (2024) emphasize that LLMs can be poorly calibrated, meaning they may be highly confident when incorrect or insufficiently confident when correct. Their **Calibration-Tuning** approach seeks to improve models' ability to distinguish between what they know and what they do not know.

Calibration is important because a useful hallucination detector should ideally produce a relationship such as:

$$P(\text{Correct} \mid \hat{c} = 0.8) \approx 0.8,$$

where  $\hat{c}$  is the predicted confidence. Without calibration, token probability may be systematically misleading.

## 5.2 Self-Consistency and Alternative Answers

Another approach estimates uncertainty by examining whether multiple independently generated responses agree. Bartsch et al. (2023) investigate self-consistency under ambiguity and show that token output distributions can retain substantial probability mass over alternative answers even when a model's observed outputs appear self-consistent. Their findings highlight the distinction between the single generated answer and the broader predictive distribution.

Self-consistency can be useful because disagreement among sampled answers may reveal semantic uncertainty that is hidden when only one greedy or deterministic response is examined.

## 5.3 Conformal Abstention

Abbasi-Yadkori et al. (2024) propose **conformal abstention** for mitigating hallucination. Their method uses agreement or similarity among sampled LLM responses as an uncertainty signal and applies conformal prediction techniques to determine when the model should abstain. The approach is designed to provide statistical control over hallucination rates under its assumptions and demonstrates that uncertainty estimation can be directly connected to selective answering policies.

This is an important practical development: the objective of uncertainty estimation is not necessarily to label every output as true or false. Instead, uncertainty can guide decisions about when the model should answer, retrieve information, request clarification, or abstain.

## 5.4 Self-Evaluation and Factuality Alignment

Zhang et al. (2024) propose **Self-Alignment for Factuality**, using an LLM's self-evaluation ability to generate signals for improving factuality. Their method includes self-evaluation and self-knowledge tuning intended to improve confidence estimation and calibration. The reported results demonstrate improved factual performance on knowledge-intensive tasks, illustrating how uncertainty estimation can be incorporated into training and alignment rather than being used only as a post-generation detector.

## 5.5 Faithfulness and Output-Level Self-Consistency

Parcalabescu and Frank (2024) argue that several methods described as tests of explanation faithfulness may instead measure output-level self-consistency. This distinction is relevant to hallucination detection because agreement between generated responses does not necessarily demonstrate that the responses correspond to a model's internal reasoning or external truth.

Thus,

$$\text{Consistency} / \text{Truth.} =$$

Multiple generations may consistently reproduce the same misconception. Self-consistency is therefore valuable as an uncertainty signal but should ideally be combined with external evidence or factual verification.

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## 6. Research Challenges and Limitations

### 6.1 Confidence Is Not Truth

The most important limitation is that a model's probability distribution is not an external truth distribution. LLMs learn statistical relationships from training data and may confidently reproduce false, outdated, biased, or contextually inappropriate information.

Therefore,

$$\text{Low uncertainty} \not\Rightarrow \text{Correct,}$$

and

$$\text{High uncertainty} \not\Rightarrow \text{Incorrect.}$$

Uncertainty should consequently be treated as a risk estimate rather than a proof of hallucination.

### 6.2 Tokenization Dependence

Token entropy depends on the model vocabulary and tokenization method. A single meaningful word may be represented by one token in one model and several subword tokens in another. This complicates direct comparison of raw token uncertainty across architectures.

### 6.3 Semantic Versus Lexical Uncertainty

As demonstrated by semantic entropy research, token-level entropy includes uncertainty caused by legitimate variation in phrasing. This makes naive entropy potentially misleading for free-form generation (Farquhar et al., 2024).

### 6.4 Different Hallucination Types

Hallucinations are heterogeneous. Knowledge-related confabulation may correlate strongly with uncertainty, whereas confidently learned misinformation may not. Source-faithfulness errors, reasoning errors, and temporal inaccuracies may also require different detection signals.



## 6.5 Access to Model Internals

Some commercial LLMs do not expose complete logits or token probabilities. Direct token-level entropy estimation may therefore be impossible for external users. Sampling-based, self-consistency, and black-box methods become important alternatives in such environments.

## 6.6 Computational Cost

Methods based on repeated sampling and semantic clustering can be more expensive than single-pass token-level approaches. Future systems must balance detection accuracy against latency and computational resources.

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# 7. Research Gaps and Future Directions

## 7.1 Multilevel Uncertainty Frameworks

A major research opportunity is to combine complementary forms of uncertainty:

$$U_{\text{total}} = f(U_{\text{token}}, U_{\text{semantic}}, U_{\text{hidden}}, U_{\text{consistency}}, U_{\text{evidence}}).$$

Here:

- $U_{\text{token}}$  measures local predictive ambiguity.
- $U_{\text{semantic}}$  measures disagreement over meanings.
- $U_{\text{hidden}}$  uses internal representations.
- $U_{\text{consistency}}$  measures instability across generations.
- $U_{\text{evidence}}$  measures disagreement with retrieved or authoritative information.

Such a framework could overcome the weaknesses of relying on any single uncertainty metric.

## 7.2 Claim-Level Detection

Future work should connect uncertainty directly to factual claims. Instead of assigning one score to an entire paragraph, a system could identify entities, relations, dates, quantities, and propositions and calculate localized risk scores.

This would improve interpretability and allow targeted verification of only the claims most likely to be incorrect.

## 7.3 Early Intervention During Generation

Entropy trajectories provide an opportunity for real-time detection. When uncertainty exceeds a calibrated threshold, the system could:

- retrieve external evidence;
- generate multiple candidate answers;

- perform self-evaluation;
- request clarification;
- modify decoding;
- or abstain.

The research challenge is to identify risky generation states early enough to reduce hallucinations without unnecessarily interrupting correct responses.

## 7.4 Robust Calibration Under Distribution Shift

A confidence model calibrated on general-domain questions may become unreliable in specialized domains. Future research should examine uncertainty calibration across medicine, law, science, multilingual contexts, and temporally changing knowledge.

## 7.5 Evaluation Beyond AUROC

Hallucination detection should not be evaluated solely as binary classification. Important additional measures include:

- calibration error;
- precision at high-risk thresholds;
- risk-coverage curves;
- selective accuracy;
- abstention rates;
- claim-level localization accuracy;
- computational cost and latency.

These measures better represent real-world deployment decisions.

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# 8. Conclusion

Token-level uncertainty provides a theoretically well-motivated signal for predicting hallucination in autoregressive large language models. Because LLMs generate probability distributions over successive tokens, entropy, probability margins, negative log-likelihood, and uncertainty trajectories can reveal positions where the model's generation is unstable or weakly constrained.

However, token-level uncertainty is not equivalent to factual correctness. A model can be uncertain about wording while being confident about the underlying meaning, and it can confidently produce false information. Research on semantic entropy demonstrates the importance of separating lexical variability from semantic uncertainty. Similarly, work on calibration shows that raw model confidence requires careful interpretation.

Recent approaches—including semantic entropy, semantic entropy probes, calibration-tuning, self-consistency analysis, conformal abstention, and self-evaluation—indicate that the strongest approach to hallucination prediction is likely to be multilevel. Token-level uncertainty can provide a fast and inexpensive

first warning, while semantic analysis, alternative generations, internal representations, and external evidence can provide deeper verification.

Therefore, token-level uncertainty should not be regarded as a universal truth detector. Instead, it should be treated as an important component of an uncertainty-aware reliability system. Combining token-level signals with semantic, calibrated, claim-level, and evidence-based methods offers a promising direction toward more trustworthy LLMs.

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**Note:** The paper now contains **15 references**, exceeding the requested minimum of 10. The references include foundational work on hallucination, uncertainty estimation, calibration, semantic entropy, self-consistency, abstention, factuality, and hallucination detection.